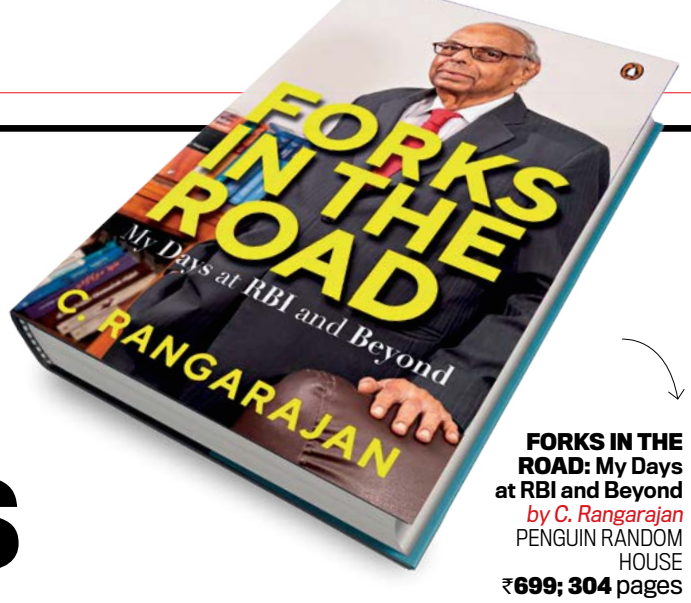
BOOKS

AGAINST ALL ODDS



FORKS IN THE ROAD: My Days at RBI and Beyond
by C. Rangarajan
PENGUIN RANDOM HOUSE
₹**699; 304** pages

By Viral V. Acharya

It is only after one reaches the summit that one can reflect properly upon how far one has travelled. Dr C. Rangarajan's book, an account of his public service in India spanning over three decades (1982-2014), details his monumental journey as a key architect of the modern Indian financial system. It is my honour and privilege to have had a chance to read and review the book.

Dr Rangarajan, a macroeconomist by training and a former professor at New York University, held positions as deputy governor and governor of the Reserve Bank of India (RBI), the governor of two states, the chairman of the 12th Finance Commission, a member of the Rajya Sabha, and the chairman of the Economic Advisory Council. I can't think of any individual in India who has been successful both in technocratic and semi-political appointments, moved seamlessly between the two, and always delivered on the job at hand with high impact. It is, therefore, in itself a matter of great post-retirement service that Dr Rangarajan has written this memoir covering the economic backdrop, policy challenges, decisions made, stability secured, and growth unleashed during his term in various positions.

DESPITE HIS MANY ACHIEVEMENTS, DR RANGARAJAN AS AN AUTHOR DOESN'T FALL PREY TO THE TEMPTATION OF ENGAGING IN THE OCCASIONAL FLOURISH OR ROMANTICISM

The 1990s' reforms following the balance-of-payment (BOP) crisis represent the first salvo in the book. A switch from the primitive setting in which Dr Rangarajan as the RBI governor set the exchange rate of the Rupee against the US dollar in a back office (of course, in discussions with the staff) to an exchange rate being set mostly by market forces amid a trading volume of billions of dollars today, is a giant step in managing India's external sector. That step required ceding control, which, Dr Rangarajan, along with the government of India, undertook to avoid a repeat of the BOP crisis. He also then laid the prudent framework for managing capital flows, relying more on long-term equity-style flows and less on fickle, hot-money debt flows, and never on dollar-denominated government bonds.

Given my stint at the RBI, I enjoyed most the second part of the book, which unsurprisingly revolves around what is considered the most important speech by a Reserve Bank Governor, viz., the Kutty Memorial Lecture of 1993 by Dr Rangarajan. This address recognised the unsound practice of the central bank automatically financing government deficits via the issuance of ad hoc short-term treasury bills, the consequence being a reduced discipline on deficits and a perennial risk of an increase in money supply driving up prices. This highlighted the lack of operational autonomy of the RBI's monetary policy, which needed to be fixed. The reform was undertaken step by step over the period 1994 to 1997.

Dr Rangarajan explains masterfully how the government financing its deficit primarily in markets rather than from the RBI also required a free determination of interest rates in the economy, that is, the deregulation of rates on loans that had been administered centrally since 1964, and the development of government bond (G-sec) markets. These reforms were introduced during 1992-1997: banks were progressively released from the repression of buying government bonds or holding central bank reserves in large quantities, short-term money markets were developed, and G-secs were sold to markets via auctions rather than at pre-set prices. The inflation-targeting framework adopted by the RBI and the government in 2016 represents a natural culmination of these critical reforms advanced by and executed under Dr Rangarajan's governorship.

Last but not the least, the third and final section of the book focuses on the issue of fiscal federalism—how the Cen-